## 22. Income Tax Expense

Income tax expense is recognized based on management's best estimate of the weighted average annual income tax rate expected for the full financial year. The average annual tax rate expected as of March 31, 2019 to be effective for the year ended December 31, 2019 is 27.0%.

## 23. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the three months ended March 31, 2019 and 2018 are calculated as follows:

(1) Ordinary Shares

| *(In millions of Korean won, thousands of number of shares)* | **2019** | **2018** |
|---|---|---|
| Profit for the period attributable to owners of the parent company | ₩ 5,107,490 | ₩ 11,611,833 |
| Profit for the period available for ordinary shares | 4,488,752 | 10,205,137 |
| Weighted-average number of ordinary shares outstanding | 5,969,783 | 5,972,482 |
| **Basic earnings per ordinary share *(in Korean won)*** | ₩ 752 | ₩ 1,709 |

(2) Preference Shares

| *(In millions of Korean won, thousands of number of shares)* | **2019** | **2018** |
|---|---|---|
| Profit for the period attributable to owners of the parent company | ₩ 5,107,490 | ₩ 11,611,833 |
| Profit for the period available for preference shares | 618,738 | 1,406,696 |
| Weighted-average number of preference shares outstanding | 822,887 | 823,515 |
| **Basic earnings per preference share *(in Korean won)*** | ₩ 752 | ₩ 1,708 |

(B) Diluted earnings per share

The Company does not have dilutive potential ordinary shares and as a result, basic earnings per share and diluted earnings per share are the same for the three months ended March 31, 2019 and 2018.

## 24. Cash Flows

Adjustments and changes in assets and liabilities arising from operating activities for the three months ended March 31, 2019 and 2018 are as follows:

- Adjustments

| *(In millions of Korean won)* | | 2019 | | 2018 |
|---|---|---|---|---|
| Adjustments for: | | | | |
| Income tax expense | ₩ | 1,869,393 | ₩ | 4,487,363 |
| Financial income | | (1,284,064) | | (1,360,610) |
| Financial expenses | | 753,498 | | 996,852 |
| Post-employment benefits | | 280,234 | | 234,381 |
| Depreciation | | 6,840,816 | | 5,915,263 |
| Amortization | | 254,728 | | 351,073 |
| Bad debt expenses (reversal) | | 15,518 | | (41,591) |
| Dividend income | | (34,711) | | (34,327) |
| Share of profit of associates and joint ventures | | (77,681) | | (64,364) |
| Gain on disposal of property, plant and equipment | | (89,679) | | (93,026) |
| Loss on disposal of property, plant and equipment | | 43,948 | | 30,406 |
| Loss on valuation of inventories | | 684,245 | | 699,995 |
| Gain on disposal of investments | | (11,363) | | (1,558) |
| Others | | (820) | | 20,651 |
| **Total** | ₩ | 9,244,062 | ₩ | 11,140,508 |

- Changes in assets and liabilities arising from operating activities

| *(In millions of Korean won)* | | 2019 | | 2018 |
|---|---|---|---|---|
| Changes in assets and liabilities : | | | | |
| Increase in trade receivables | ₩ | (1,603,834) | ₩ | (662,078) |
| Decrease (increase) in other receivables | | (237,431) | | 939,281 |
| Increase in advance payments | | (134,806) | | (125,494) |
| Decrease (increase) in prepaid expenses | | 119,105 | | (846,478) |
| Increase in inventories | | (2,786,782) | | (2,193,860) |
| Increase in trade payables | | 822,177 | | 142,328 |
| Decrease in other payables | | (948,085) | | (664,587) |
| Increase (decrease) in advances received | | 65,936 | | (123,362) |
| Decrease in withholdings | | (178,942) | | (29,016) |
| Decrease in accrued expenses | | (4,509,347) | | (4,011,462) |
| Increase in provisions | | 841,609 | | 908,753 |
| Payment of post-employment benefits | | (97,553) | | (110,481) |
| Other | | (96,162) | | (26,065) |
| **Total** | ₩ | (8,744,115) | ₩ | (6,802,521) |

For the three months ended March 31, 2019, cash outflows from repayment of the principal (financial activities) and cash outflows due to interest expenses (operating activities) in relation to the lease liabilities amount to ₩ 149,229 million and ₩ 23,636 million, respectively.